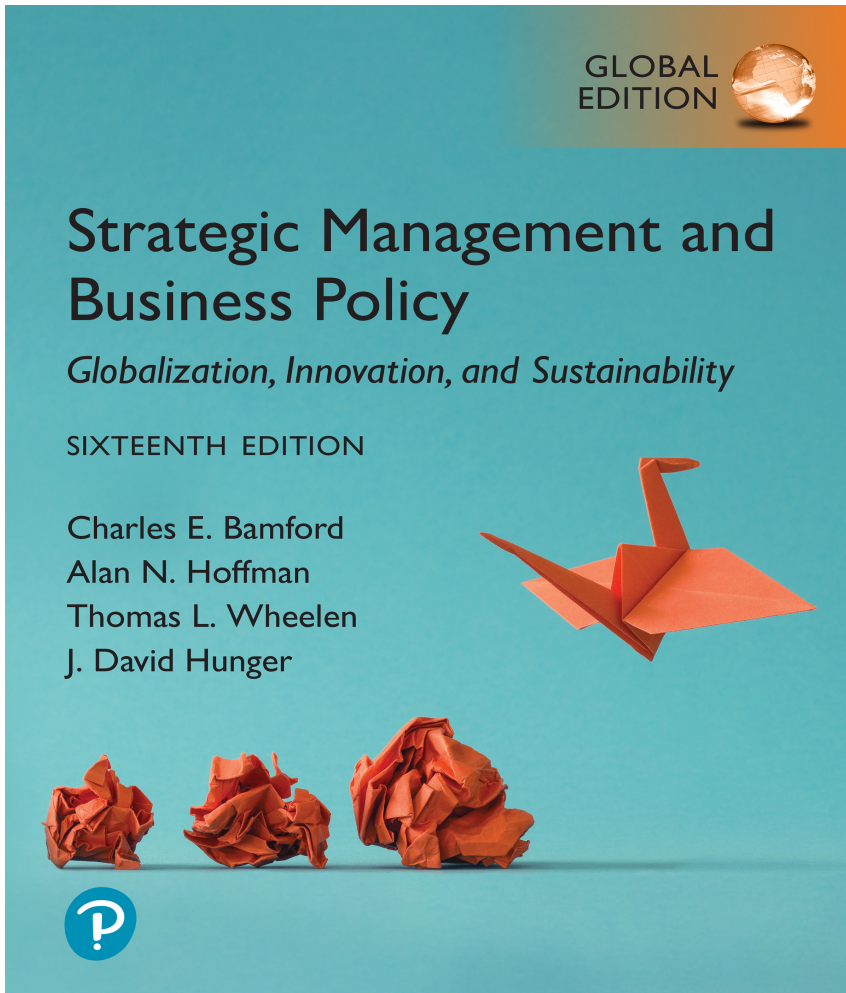


Strategic Management and Business Policy: Globalization, Innovation and Sustainability

Sixteenth Edition, Global Edition



Chapter 3

Social Responsibility and Ethics in Strategic Management

Learning Objectives

- 3.1** Discuss the relationship between social responsibility and corporate performance
- 3.2** Explain the concept of sustainability
- 3.3** Conduct a stakeholder analysis
- 3.4** Explain why people may act unethically
- 3.5** Describe different views of ethics according to the utilitarian, individual rights, and justice approaches

Social Responsibilities of Strategic Decision Makers

- **Social responsibility**
 - proposes that a private corporation has responsibilities to society that extend beyond making a profit

Friedman's Traditional View of Business Responsibility

- Argues against the concept of social responsibility
- Primary goal of business is profit maximization not spending shareholder money for the general social interests

Carroll's Four Responsibilities of Business (1 of 2)

1. Economic responsibilities

- produce goods and services of value to society so that the firm may repay its creditors and increase the wealth of its shareholders

2. Legal responsibilities

- defined by governments in laws that management is expected to obey

Carroll's Four Responsibilities of Business (2 of 2)

3. Ethical responsibilities

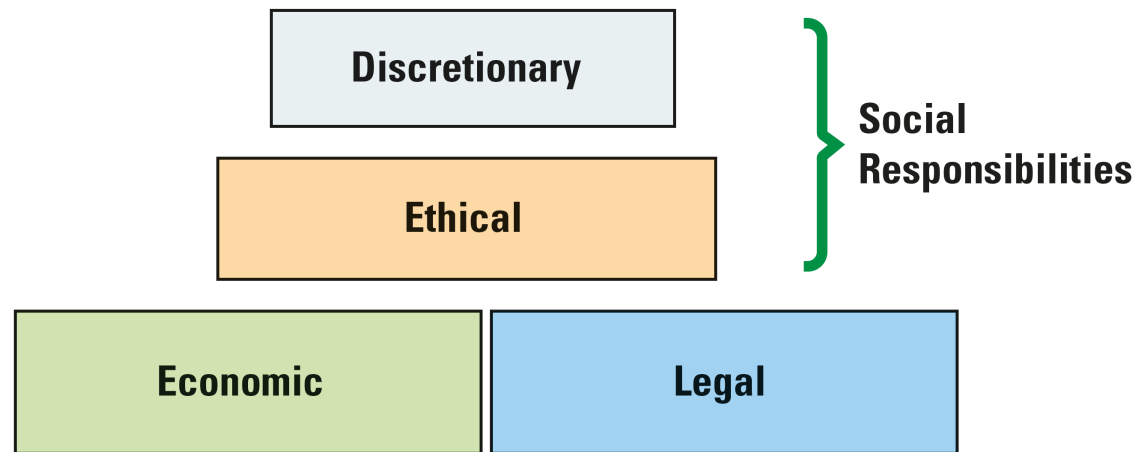
- follow the generally held beliefs about behavior in a society

4. Discretionary responsibilities

- purely voluntary obligations a corporation assumes

Figure 3-1

Responsibilities of Business



Source: Suggested by Archie Carroll in A. B. Carroll, “A Three Dimensional Conceptual Model of Corporate Performance,” *Academy of Management Review* (October 1979), pp. 497–505; A. B. Carroll, “Managing Ethically with Global Stakeholders: A Present and Future Challenge,” *Academy of Management Executive* (May 2004), pp. 114–120; and A. B. Carroll, “The Pyramid of Corporate Social Responsibility: Toward the Moral Management of Organizational Stakeholders,” *Business Horizons* (July–August 1991), p. 39–48.

Responsibilities of a Business Firm

(1 of 2)

- **Social capital**
 - the goodwill of key stakeholders that can be used for competitive advantage
 - opens doors in local communities
 - enhances reputation with consumers

Responsibilities of a Business Firm (2 of 2)

There are numerous benefits of Being Socially Responsible including:

- May enable firm to charge premium prices and gain brand loyalty
- May help generate enduring relationships with suppliers and distributors
- Can attract outstanding employees
- More likely to be welcomed into a foreign country
- Can utilize the goodwill of public officials for support in difficult times
- More likely to attract capital from investors who view reputable firms as desirable long-term investments

Sustainability

Sustainability should be broadened to include all of these concerns.

- Environmental
- Economic
- Social

Corporate Stakeholders

- **Stakeholders**
 - have an interest in the business and affect or are affected by the achievement of the firm's objectives
- **Enterprise strategy**
 - an overarching strategy explicitly articulating the firm's ethical relationship with its stakeholders

Stakeholder Analysis (1 of 4)

- **Stakeholder analysis**
 - the identification and evaluation of corporate stakeholders
 - usually done in a three-step process

Stakeholder Analysis (2 of 4)

- The **first step** in stakeholder analysis is to identify primary stakeholders.
- **Primary stakeholders**
 - those who have a **direct connection** with the corporation and who have sufficient bargaining power to **directly** affect corporate activities
 - include customers, employees, suppliers, shareholders, and creditors

Stakeholder Analysis (3 of 4)

- The **second step** in stakeholder analysis is to identify the secondary stakeholders
- **Secondary stakeholders**
 - have an indirect stake in the corporation but are also affected by corporate activities
 - includes NGOs, activists, local communities, trade associations, competitors, and governments

Stakeholder Analysis (4 of 4)

- The **third step** in stakeholder analysis is to estimate the effect on each stakeholder group from any particular strategic decision

Stakeholder Input

- Once stakeholder impacts have been identified, managers should decide whether stakeholder input should be invited into the discussion of the strategic alternatives
- A group is more likely to accept or even help implement a decision if it has some input into which alternative is chosen and how it is to be implemented

Reasons for Unethical Behavior

- Unaware that behavior is questionable
- Lack of standards of conduct
- Different cultural norms and values
- Rule-based or relationship-based governance systems
- Different values between businesspeople and key stakeholders

Moral Relativism (1 of 3)

- **Moral relativism**
 - claims that morality is about some personal, social, or cultural standard and that there is no method for deciding whether one decision is better than another

Moral Relativism (2 of 3)

- **Naïve relativism**
 - based on the belief that all moral decisions are deeply personal and that individuals have the right to run their lives
- **Role relativism**
 - based on the belief that social roles carry with them certain obligations to that role

Moral Relativism (3 of 3)

- **Social group relativism**
 - based on a belief that morality is simply a matter of following the norms of an individual's peer group
- **Cultural relativism**
 - based on the belief that morality is relative to a particular culture, society, or community

Kohlberg's Levels of Moral Development

1. Preconventional level

- concern for self

2. Conventional level

- considerations for society's laws and norms

3. Principled level

- guided by an internal moral code

Encouraging Ethical Behavior (1 of 2)

- **Code of Ethics**

- specifies how an organization expects its employees to behave while on the job

A code of ethics accomplishes two objectives:

1. Clarifies company expectations of employee conduct in various situations
2. Makes clear the company expects its people to recognize the ethical dimensions in decisions and action

Encouraging Ethical Behavior (2 of 2)

- Company culture can be the biggest influence on reducing misconduct.
- Firms attempt to remedy these behaviors by supporting **whistleblowers** who are employees who report illegal or unethical behavior on the part of others

Views on Ethical Behavior (1 of 4)

- **Ethics**
 - the consensually accepted standards of behavior for an occupation, trade, or profession
- **Morality**
 - one's rules of personal behavior based on religious or philosophical grounds
- **Law**
 - the formal codes that permit or forbid certain behaviors and may or may not enforce ethics or morality

Views on Ethical Behavior (2 of 4)

- **Utilitarian approach**
 - proposes actions and plans should be judged by their consequences
- **Individual rights approach**
 - proposes human beings have certain fundamental rights that should be respected in all decisions

Views on Ethical Behavior (3 of 4)

- **Justice approach**
 - decisions must be equitable, fair, and impartial in the distribution of costs and benefits to individuals or groups

Views on Ethical Behavior (4 of 4)

Cavanagh's questions to solve ethical problems:

1. **Utility:** Does it optimize the satisfactions of the stakeholders?
2. **Rights:** Does it respect the rights of the individuals involved?
3. **Justice:** Is it consistent with the canons of justice?

Q & A